

ACTIVITY 12 — LEARNER WORKSHEET

PR Campaign Budget Planning

TYPE	DURATION	MAPS TO	TOPIC
Case Study	25 minutes	LU3	LU3 — Branding in Marketing

Name	
Date	

What you are doing

The CEO has approved a bounded PR budget for the 5th-anniversary relaunch — but not a blank cheque. Before a single dollar is spent, the CEO wants to see it allocated across earned, owned and paid channels in a way that visibly matches Nimbus's brand positioning, not just whichever channel the Marketing team finds easiest to book.

What you will produce: A PR budget proposal: a percentage split across Paid/Earned/Shared/Owned, a reserve fund with a defined trigger, and Board-grade reputation KPIs.

The scenario

The Board has already flagged a second concern for after the relaunch: they want ongoing proof the campaign improved Nimbus's reputation, not just its impression count — so today's budget plan needs KPIs the Board can actually hold the team to.

Your table has been asked to build the PR budget proposal the CEO will sign off on.

Your steps

1. **Anchor to positioning, not convenience** — Write Nimbus's brand positioning and the perception gap at the top. Every allocation must be defensible against these, not against which channel is easiest for Marketing to book.
2. **Allocate across the four PESO channels** — Assign a percentage to Paid, Earned, Shared and Owned. They must total 100% including your reserve. Write a one-line rationale beside each figure.
3. **Justify the largest share** — Name the channel taking the biggest share and argue why it is right for THIS relaunch. Given a credibility problem, Earned and Shared usually deserve more than Paid — paid reach does not repair trust, and a brand shouting louder about being personal tends to prove the opposite.
4. **Decide what to underfund deliberately** — Name the channel you are consciously underfunding and why. Deliberate underfunding is a strategic decision; leaving something out silently is an oversight. The CEO will ask about this.

5. **Set the reserve and its trigger** — Hold back a percentage and — critically — write what specific event would release it. A reserve without a trigger becomes either unspent or spent on impulse. The packaging-defect scenario in Activity 15 is exactly the kind of trigger to plan for.
6. **Define reputation KPIs, not reach KPIs** — The Board wants proof of reputation improvement. Impressions and reach measure exposure. Sentiment shift, share of positive voice, review-score movement and earned-mention quality measure reputation. Choose the latter.
7. **Pressure-test the proposal** — Have one person at the table play the CEO and challenge each allocation. Revise anything that cannot be defended in one sentence.

Your working space

Complete every field. You may keep this worksheet and refer to it during the open-book assessment.

Step 1 — Anchor to positioning, not convenience

Step 2 — Allocate across the four PESO channels

Step 3 — Justify the largest share

Step 4 — Decide what to underfund deliberately

Step 5 — Set the reserve and its trigger

Step 6 — Define reputation KPIs, not reach KPIs

Step 7 — Pressure-test the proposal

Answers to the discussion prompts

1. Using the PESO model, how should the budget split across paid, earned, shared and owned channels given Nimbus's brand positioning and the perception gap it's trying to close?

2. Which channel deserves the largest share of spend for this specific relaunch — and which would you deliberately underfund, and why?

3. What percentage, if any, should be held back as a reserve fund, and what would trigger Nimbus to actually spend it?

4. What KPIs would let the Board judge reputation improvement, not just reach or impressions?

Reflect & discuss

Did your allocation favour the channel that's easiest to execute, or the one the brand positioning actually calls for?

How did you decide the size of the reserve fund — was it a rule of thumb or tied to a specific risk Nimbus is facing?

If the Board rejected your KPI list as "just vanity metrics," what would you replace them with?

Check your work

Every group can show a PR budget proposal with a percentage split across paid, earned, shared and owned channels, a stated reserve fund, and a KPI list the Board could use to judge reputation impact rather than reach alone.